

Inequality of Opportunity, Income Inequality, and Economic Mobility: Some International Comparisons

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INTRODUCTION

The relationship between inequality and the development process has long been of interest, and both directions of causality have been extensively investigated. The idea that the structural transformation that takes place as an economy develops may lead first to rising and then to falling inequality—known as the Kuznets (1955) hypothesis—was once hugely influential. The view that inequality may, in turn, affect the rate and nature of economic growth has an equally distinguished pedigree, dating back at least to Kaldor (1956). In the 1990s, a burgeoning theoretical literature suggested a number of mechanisms through which wealth inequality might be detrimental to economic growth, when combined with credit constraints and increasing returns, because of political channels, fertility effects, et cetera. See Voitchovsky (2009) for a recent survey of that literature.

But popular concern about inequality in developing (and developed) countries does not originate exclusively—or even primarily—from its possible instrumental effects on growth, on the growth elasticity of poverty, on health status, on crime, or on any number of other factors that are possibly influenced by the distribution of economic well-being. Many of those who worry about inequality do so because they consider it—or at least some of it—“unjust.” Most development economists, however, share the broader profession’s discomfort with normative concepts such as justice and, until recently and with some distinguished exceptions, have had little to say about it.

That is a pity. Behavioral economics has taught us that notions of fairness and justice affect individual behavior—in the precise and well-documented sense that they induce sizable deviations from the behaviors predicted by

purely self-regarding models of rationality (e.g., Fehr and Fischbacher 2003, Fehr and Gächter 2000, Fehr and Schmidt 1999). Some recent experimental evidence suggests that, in assessing outcome distributions, people do distinguish between factors for which players can be held responsible, and those that are beyond their control (Cappelen et al. 2010). If fairness matters to economic agents and alters their behavior, then understanding fairness ought to matter even to the purest positive economist. If people assess distributional outcomes differently depending on how much of the inequality they observe is thought to be “fair” or “unfair”, then it may be useful to measure the extent to which inequality is unfair.

Efforts in this direction have in fact begun. Drawing primarily on the welfare economics literature on “inequality of opportunity” (I.Op.), researchers have started to measure unfair inequality in both poor and rich countries. In that literature, there is now widespread agreement on the basic principle of what equality of opportunity refers to: inequalities due to circumstances beyond individual control are unfair, and should be compensated for, while inequalities due to factors for which people can be held responsible (sometimes called “efforts”), may be considered acceptable. But this broad concept can be interpreted in a number of different ways, some of which have been shown to be mutually inconsistent. And there is an even greater array of actual indices that have been proposed to implement these concepts, and used to measure inequality of opportunity in different countries or at different times. The relatively high ratio of different (and incomparable) approaches to actual empirical applications means that it has so far been difficult to make a reasonably broad comparison of inequality of opportunity levels across countries.

This chapter takes a first step toward making such a comparison, by drawing on two specific approaches that have been relatively widely used. The first is the measurement of ex-ante inequality of economic opportunity (IEO). The second is the measurement of (children’s) access to basic services adjusted for differences associated with circumstances—commonly known as the Human Opportunity Index (HOI). The latter is not a measure of inequality of opportunity per se; it is better seen as a development index that is designed to be sensitive to inequality of opportunity. Our objective is a modest one: we collect and summarize the results of empirical applications of these two measures to as many countries as possible, and describe the correlations between these measures and a number of other indicators of interest, including GDP per capita, overall income inequality, and two measures of intergenerational mobility.

We hope that the collected evidence on the degree of inequality of opportunity in different countries, and its pattern of association with other variables, might help to shed light on the nature of the (often increasing) inequalities observed today in many areas of the world, and may help in the design of redistributive public policies. The chapter is organized as follows. The second section contains a brief overview of the concepts and approaches to the measurement of inequality of opportunity. This provides